

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

FORM 10-Q

(Mark One)

☒ QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the quarterly period ended December 27, 2025

or

☐ TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934

For the transition period from _____ to _____.

Commission File Number: 001-36743



Apple Inc.

(Exact name of Registrant as specified in its charter)

California

(State or other jurisdiction
of incorporation or organization)

One Apple Park Way
Cupertino, California

(Address of principal executive offices)

94-2404110

(I.R.S. Employer Identification No.)

95014

(Zip Code)

(408) 996-1010

(Registrant's telephone number, including area code)

Securities registered pursuant to Section 12(b) of the Act:

Title of each class	Trading symbol(s)	Name of each exchange on which registered
Common Stock, \$0.00001 par value per share	AAPL	The Nasdaq Stock Market LLC
1.625% Notes due 2026	—	The Nasdaq Stock Market LLC
2.000% Notes due 2027	—	The Nasdaq Stock Market LLC
1.375% Notes due 2029	—	The Nasdaq Stock Market LLC
3.050% Notes due 2029	—	The Nasdaq Stock Market LLC
0.500% Notes due 2031	—	The Nasdaq Stock Market LLC
3.600% Notes due 2042	—	The Nasdaq Stock Market LLC

Indicate by check mark whether the Registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the Registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes ☒ No ☐

Indicate by check mark whether the Registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) during the preceding 12 months (or for such shorter period that the Registrant was required to submit such files).

Yes ☒ No ☐

Indicate by check mark whether the Registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer," "accelerated filer," "smaller reporting company," and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the Registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

PART I — FINANCIAL INFORMATION

Item 1. Financial Statements

Apple Inc.

CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS (Unaudited)

(In millions, except number of shares, which are reflected in thousands, and per-share amounts)

	Three Months Ended	
	December 27, 2025	December 28, 2024
Net sales:		
Products	\$ 113,743	\$ 97,960
Services	30,013	26,340
Total net sales	143,756	124,300
Cost of sales:		
Products	67,478	59,447
Services	7,047	6,578
Total cost of sales	74,525	66,025
Gross margin	69,231	58,275
Operating expenses:		
Research and development	10,887	8,268
Selling, general and administrative	7,492	7,175
Total operating expenses	18,379	15,443
Operating income	50,852	42,832
Other income/(expense), net	150	(248)
Income before provision for income taxes	51,002	42,584
Provision for income taxes	8,905	6,254
Net income	\$ 42,097	\$ 36,330
Earnings per share:		
Basic	\$ 2.85	\$ 2.41
Diluted	\$ 2.84	\$ 2.40
Shares used in computing earnings per share:		
Basic	14,748,158	15,081,724
Diluted	14,810,356	15,150,865

See accompanying Notes to Condensed Consolidated Financial Statements.

Apple Inc.

CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME (Unaudited)
(In millions)

	Three Months Ended	
	December 27, 2025	December 28, 2024
Net income	\$ 42,097	\$ 36,330
Other comprehensive income/(loss):		
Change in foreign currency translation, net of tax	(159)	(625)
Change in unrealized gains/losses on derivative instruments, net of tax:		
Change in fair value of derivative instruments	211	1,651
Adjustment for net (gains)/losses realized and included in net income	237	784
Total change in unrealized gains/losses on derivative instruments	448	2,435
Change in unrealized gains/losses on marketable debt securities, net of tax:		
Change in fair value of marketable debt securities	424	(1,647)
Adjustment for net (gains)/losses realized and included in net income	4	220
Total change in unrealized gains/losses on marketable debt securities	428	(1,427)
Total other comprehensive income	717	383
Total comprehensive income	\$ 42,814	\$ 36,713

See accompanying Notes to Condensed Consolidated Financial Statements.

Apple Inc.

CONDENSED CONSOLIDATED BALANCE SHEETS (Unaudited)

(In millions, except number of shares, which are reflected in thousands, and par value)

	December 27, 2025	September 27, 2025
ASSETS:		
Current assets:		
Cash and cash equivalents	\$ 45,317	\$ 35,934
Marketable securities	21,590	18,763
Accounts receivable, net	39,921	39,777
Vendor non-trade receivables	30,399	33,180
Inventories	5,875	5,718
Other current assets	15,002	14,585
Total current assets	158,104	147,957
Non-current assets:		
Marketable securities	77,888	77,723
Property, plant and equipment, net	50,159	49,834
Other non-current assets	93,146	83,727
Total non-current assets	221,193	211,284
Total assets	\$ 379,297	\$ 359,241
LIABILITIES AND SHAREHOLDERS' EQUITY:		
Current liabilities:		
Accounts payable	\$ 70,587	\$ 69,860
Other current liabilities	68,543	66,387
Deferred revenue	9,413	9,055
Commercial paper	1,997	7,979
Term debt	11,827	12,350
Total current liabilities	162,367	165,631
Non-current liabilities:		
Term debt	76,685	78,328
Other non-current liabilities	52,055	41,549
Total non-current liabilities	128,740	119,877
Total liabilities	291,107	285,508
Commitments and contingencies		
Shareholders' equity:		
Common stock and additional paid-in capital, \$0.00001 par value: 50,400,000 shares authorized; 14,702,703 and 14,773,260 shares issued and outstanding, respectively	95,221	93,568
Accumulated deficit	(2,177)	(14,264)
Accumulated other comprehensive loss	(4,854)	(5,571)
Total shareholders' equity	88,190	73,733
Total liabilities and shareholders' equity	\$ 379,297	\$ 359,241

See accompanying Notes to Condensed Consolidated Financial Statements.

Apple Inc.

CONDENSED CONSOLIDATED STATEMENTS OF SHAREHOLDERS' EQUITY (Unaudited)
(In millions, except per-share amounts)

	Three Months Ended	
	December 27, 2025	December 28, 2024
Total shareholders' equity, beginning balances	\$ 73,733	\$ 56,950
Common stock and additional paid-in capital:		
Beginning balances	93,568	83,276
Common stock withheld related to net share settlement of equity awards	(2,058)	(1,891)
Share-based compensation	3,711	3,383
Ending balances	95,221	84,768
Accumulated deficit:		
Beginning balances	(14,264)	(19,154)
Net income	42,097	36,330
Dividends and dividend equivalents declared	(3,880)	(3,819)
Common stock withheld related to net share settlement of equity awards	(936)	(1,102)
Common stock repurchased	(25,194)	(23,476)
Ending balances	(2,177)	(11,221)
Accumulated other comprehensive loss:		
Beginning balances	(5,571)	(7,172)
Other comprehensive income	717	383
Ending balances	(4,854)	(6,789)
Total shareholders' equity, ending balances	\$ 88,190	\$ 66,758
Dividends and dividend equivalents declared per share or RSU	\$ 0.26	\$ 0.25

See accompanying Notes to Condensed Consolidated Financial Statements.

Apple Inc.

CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS (Unaudited)
(In millions)

	Three Months Ended	
	December 27, 2025	December 28, 2024
Cash, cash equivalents, and restricted cash and cash equivalents, beginning balances	\$ 35,934	\$ 29,943
Operating activities:		
Net income	42,097	36,330
Adjustments to reconcile net income to cash generated by operating activities:		
Depreciation and amortization	3,214	3,080
Share-based compensation expense	3,594	3,286
Other	(528)	(2,009)
Changes in operating assets and liabilities:		
Accounts receivable, net	(153)	3,597
Vendor non-trade receivables	2,781	3,166
Inventories	(211)	215
Other current and non-current assets	(10,250)	939
Accounts payable	848	(6,671)
Other current and non-current liabilities	12,533	(11,998)
Cash generated by operating activities	53,925	29,935
Investing activities:		
Purchases of marketable securities	(12,693)	(6,124)
Proceeds from maturities of marketable securities	7,510	15,967
Proceeds from sales of marketable securities	2,824	3,492
Payments for acquisition of property, plant and equipment	(2,373)	(2,940)
Other	(154)	(603)
Cash generated by/(used in) investing activities	(4,886)	9,792
Financing activities:		
Payments for taxes related to net share settlement of equity awards	(2,922)	(2,921)
Payments for dividends and dividend equivalents	(3,921)	(3,856)
Repurchases of common stock	(24,701)	(23,606)
Repayments of term debt	(2,164)	(1,009)
Repayments of commercial paper, net	(5,910)	(7,944)
Other	(38)	(35)
Cash used in financing activities	(39,656)	(39,371)
Increase in cash, cash equivalents, and restricted cash and cash equivalents	9,383	356
Cash, cash equivalents, and restricted cash and cash equivalents, ending balances	\$ 45,317	\$ 30,299
Supplemental cash flow disclosure:		
Cash paid for income taxes, net	\$ 3,434	\$ 18,651

See accompanying Notes to Condensed Consolidated Financial Statements.

Apple Inc.

Notes to Condensed Consolidated Financial Statements (Unaudited)

Note 1 – Summary of Significant Accounting Policies

Basis of Presentation and Preparation

The condensed consolidated financial statements include the accounts of Apple Inc. and its wholly owned subsidiaries (collectively “Apple” or the “Company”). In the opinion of the Company’s management, the condensed consolidated financial statements reflect all adjustments, which are normal and recurring in nature, necessary for fair financial statement presentation. The preparation of these condensed consolidated financial statements and accompanying notes in conformity with U.S. generally accepted accounting principles (“GAAP”) requires the use of management estimates. These condensed consolidated financial statements and accompanying notes should be read in conjunction with the Company’s annual consolidated financial statements and accompanying notes included in its Annual Report on Form 10-K for the fiscal year ended September 27, 2025 (the “2025 Form 10-K”).

The Company’s fiscal year is the 52- or 53-week period that ends on the last Saturday of September. An additional week is included in the first fiscal quarter every five or six years to realign the Company’s fiscal quarters with calendar quarters. The Company’s fiscal years 2026 and 2025 span 52 weeks each. Unless otherwise stated, references to particular years, quarters, months and periods refer to the Company’s fiscal years ended in September and the associated quarters, months and periods of those fiscal years.

Note 2 – Revenue

The following table shows disaggregated net sales, as well as the portion of total net sales that was previously deferred, for the three months ended December 27, 2025 and December 28, 2024 (in millions):

	Three Months Ended	
	December 27, 2025	December 28, 2024
iPhone®	\$ 85,269	\$ 69,138
Mac®	8,386	8,987
iPad®	8,595	8,088
Wearables, Home and Accessories	11,493	11,747
Services	30,013	26,340
Total net sales	<u>\$ 143,756</u>	<u>\$ 124,300</u>
Portion of total net sales that was included in deferred revenue as of the beginning of the period	\$ 4,050	\$ 3,690

The Company’s proportion of net sales by disaggregated revenue source was generally consistent for each reportable segment in Note 10, “Segment Information” for the three months ended December 27, 2025 and December 28, 2024, except in Greater China, where iPhone revenue represented a moderately higher proportion of net sales.

As of December 27, 2025 and September 27, 2025, the Company had total deferred revenue of \$14.3 billion and \$13.7 billion, respectively. As of December 27, 2025, the Company expects 66% of total deferred revenue to be realized in less than a year, 23% within one-to-two years, 9% within two-to-three years and 2% in greater than three years.

Note 3 – Earnings Per Share

The following table shows the computation of basic and diluted earnings per share for the three months ended December 27, 2025 and December 28, 2024 (net income in millions and shares in thousands):

	Three Months Ended	
	December 27, 2025	December 28, 2024
Numerator:		
Net income	\$ 42,097	\$ 36,330
Denominator:		
Weighted-average basic shares outstanding	14,748,158	15,081,724
Effect of dilutive share-based awards	62,198	69,141
Weighted-average diluted shares	14,810,356	15,150,865
Basic earnings per share	\$ 2.85	\$ 2.41
Diluted earnings per share	\$ 2.84	\$ 2.40

Note 4 – Financial Instruments

Cash, Cash Equivalents and Marketable Securities

The following tables show the Company's cash, cash equivalents and marketable securities by significant investment category as of December 27, 2025 and September 27, 2025 (in millions):

	December 27, 2025						
	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non-Current Marketable Securities
Cash	\$ 30,826	\$ —	\$ —	\$ 30,826	\$ 30,826	\$ —	\$ —
Level 1:							
Money market funds	5,959	—	—	5,959	5,959	—	—
Mutual funds	792	195	(2)	985	—	985	—
Subtotal	6,751	195	(2)	6,944	5,959	985	—
Level 2 ⁽¹⁾ :							
U.S. Treasury securities	18,715	64	(211)	18,568	2,302	5,341	10,925
U.S. agency securities	8,692	1	(114)	8,579	4,192	1,998	2,389
Non-U.S. government securities	6,675	117	(399)	6,393	—	771	5,622
Certificates of deposit and time deposits	1,737	—	—	1,737	1,723	—	14
Commercial paper	991	—	—	991	297	694	—
Corporate debt securities	46,682	280	(695)	46,267	18	11,568	34,681
Municipal securities	154	—	(1)	153	—	97	56
Mortgage- and asset-backed securities	25,296	158	(1,117)	24,337	—	136	24,201
Subtotal	108,942	620	(2,537)	107,025	8,532	20,605	77,888
Total	\$ 146,519	\$ 815	\$ (2,539)	\$ 144,795	\$ 45,317	\$ 21,590	\$ 77,888